PS200C: Regression Discontinuity Designs

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May 12, 2025

Roadmap

1. Theory: Potential outcomes, identification, key quantities
2. Randomization
   - difference in means, variance estimation
   - covariate adjustment
   - blocking
   - cluster randomization
3. Selection on Observables
   - sub-classification
   - matching (on X)
   - weighting (on X)
   - matching and weighting on $Pr(D = 1)$ (propensity scores)
   - regression
   - sensitivity
4. Difference in Differences
5. Instrumental Variables
6. Regression Discontinuity: Sharp, Fuzzy

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- Widely applicable in a rule based world (administrative programs, elections, etc.)
- High internal validity, poor external validity

Sharp Regression Discontinuity Design

- Imagine a binary treatment D_i that is **completely** determined by the value of a predictor X_i being on either side of a fixed cutoff point c:

$$D_i = \mathbb{1}_{\{X_i > c\}} \text{ so } D_i = \begin{cases} D_i = 1 & \text{if } X_i > c \\ D_i = 0 & \text{if } X_i < c \end{cases}$$

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- X_i, called the forcing or running variable, may be correlated with potential outcomes, so comparing treated and untreated units does not provide causal estimates
- Situation arises often from administrative decisions, where policy decisions are made using sharp rules rather than administrator discretion

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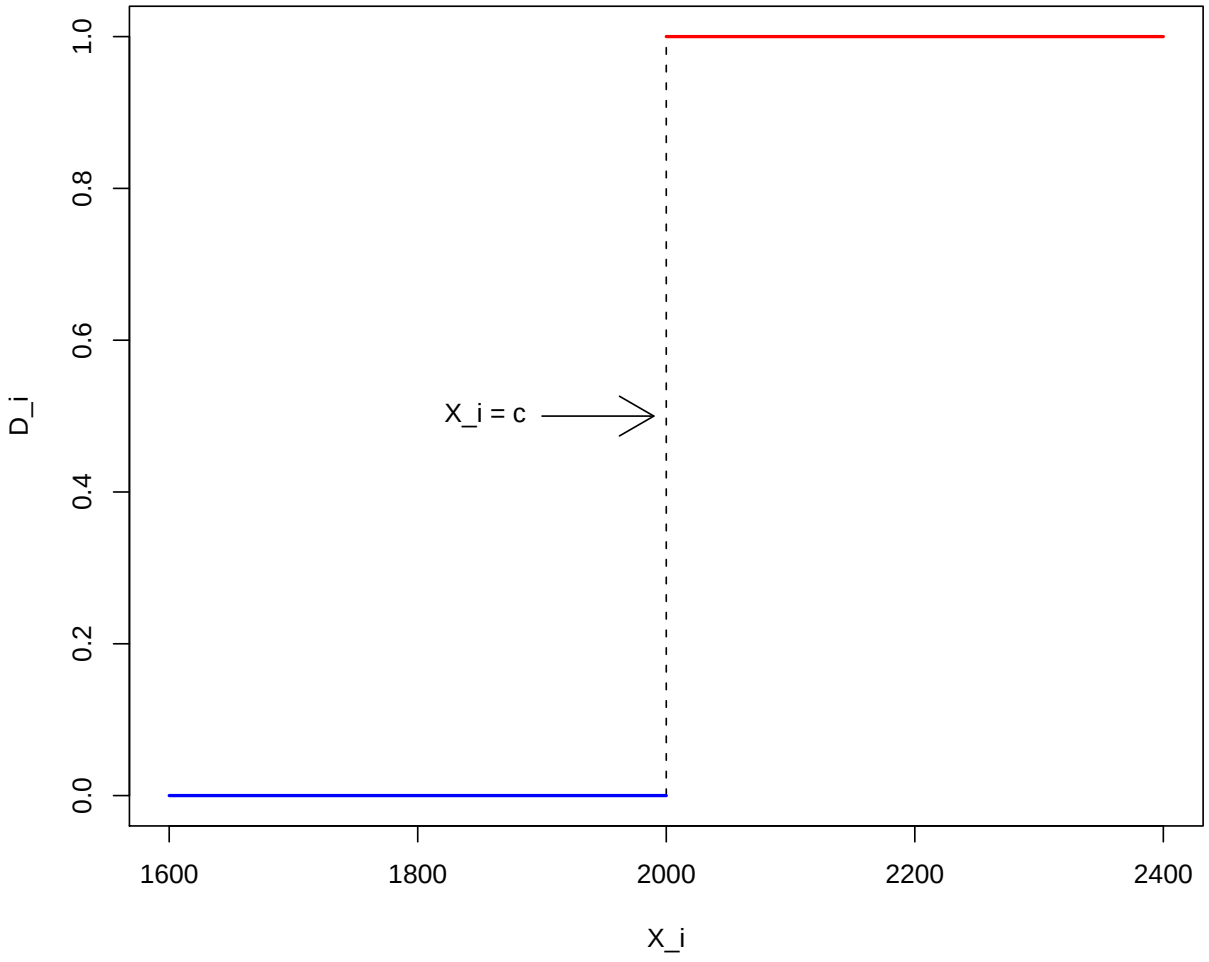
  - Outcome Y_i is subsequent earnings; potential outcomes Y_{0i}, Y_{1i}.
- Y_{1i} and Y_{0i} are correlated with X_i (and D_i): on average, students with higher SAT scores obtain higher earnings

Sharp RDD: Graphical Illustration



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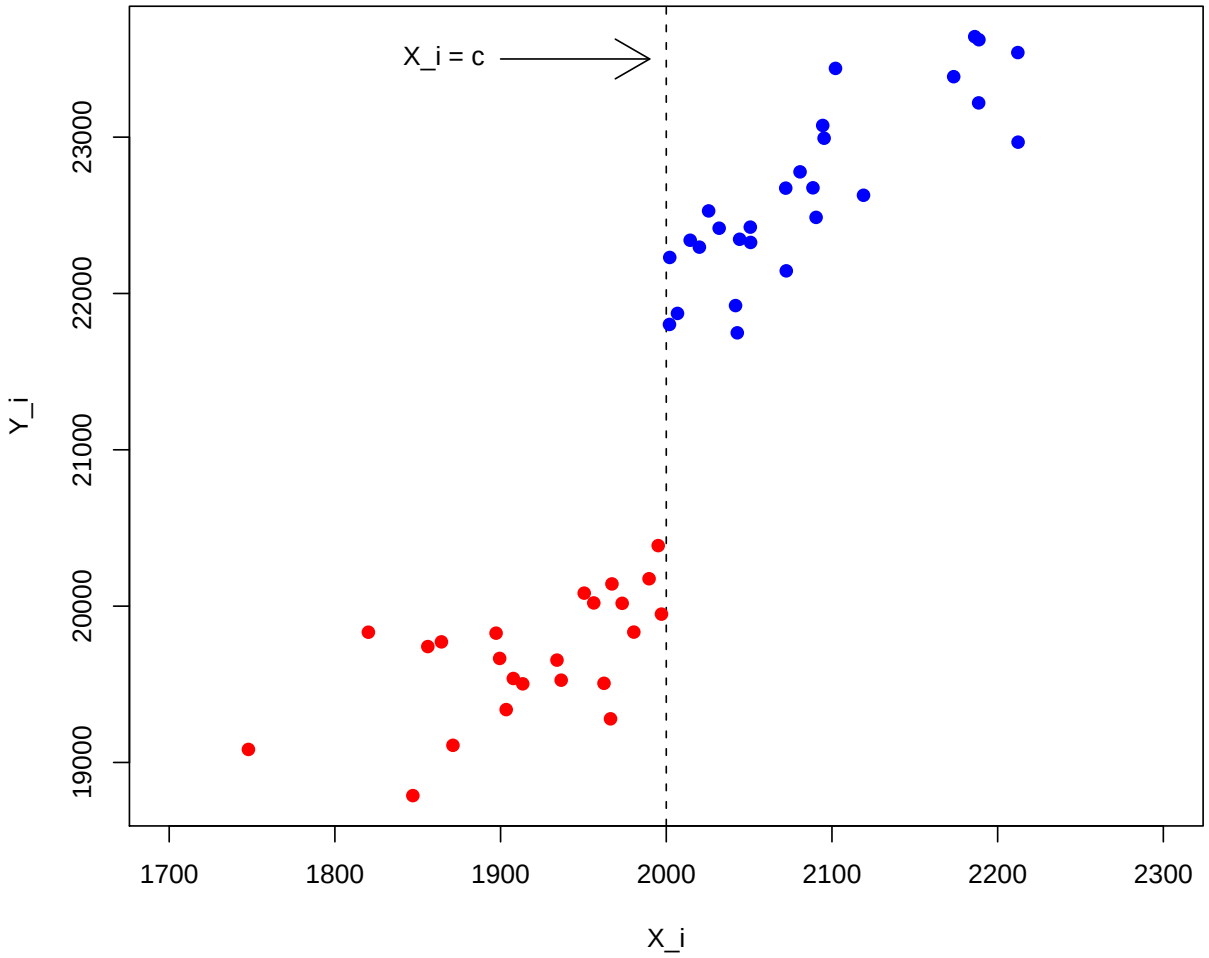

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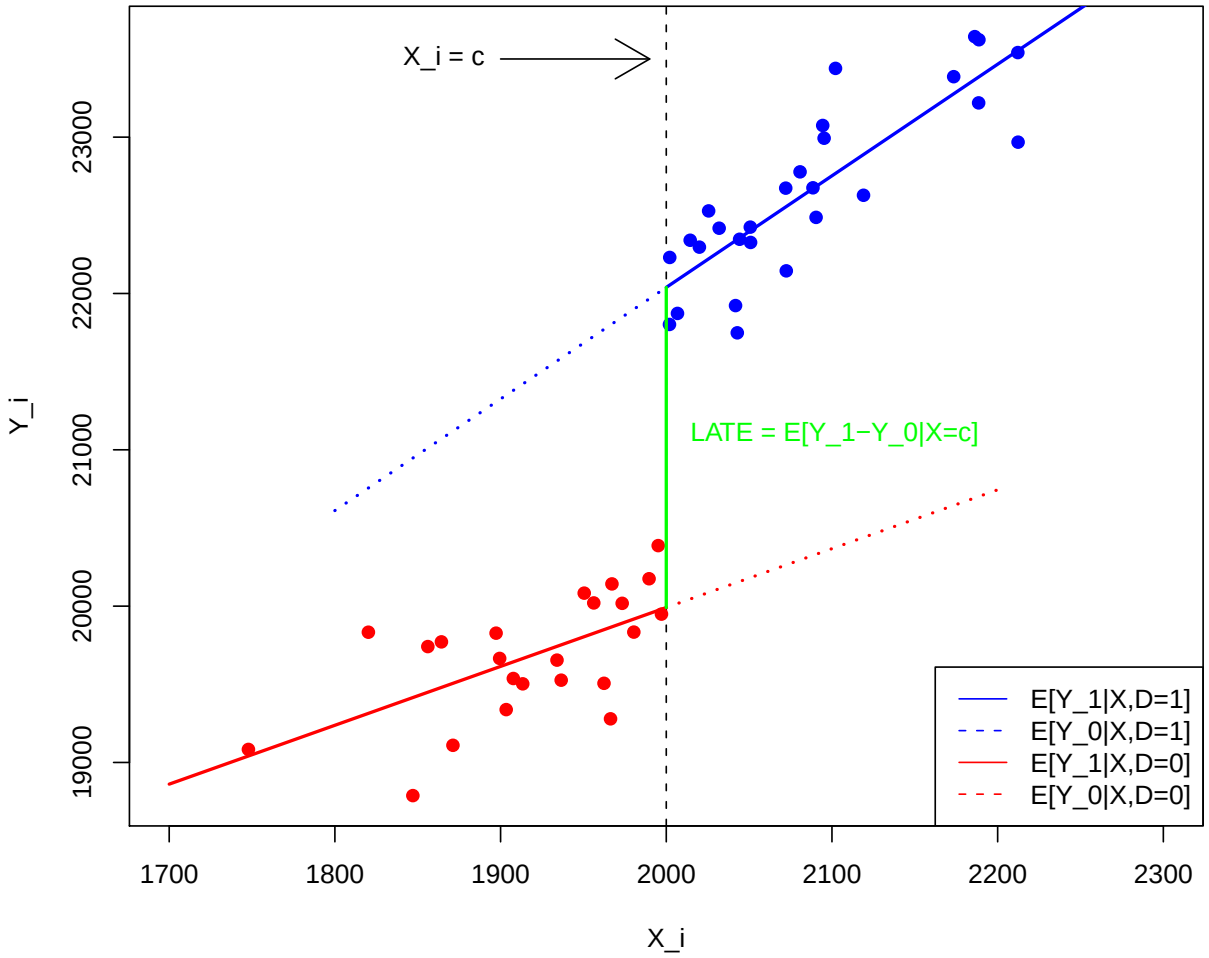

Sharp RDD: Identification

Identification Assumption

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$\mathbb{E}[Y_{1i}|X_i]$ *and* $\mathbb{E}[Y_{0i}|X_i]$ *are continuous in* X_i *around the threshold* $X_i = c$

Identification Result

The treatment effect is identified at the threshold as:

$$\begin{aligned}
\alpha_{SRDD} &= \mathbb{E}[Y_{1i} - Y_{0i}|X_i = c] \\
&= \mathbb{E}[Y_{1i}|X_i = c] - \mathbb{E}[Y_{i0}|X_i = c] \\
&= \lim_{x \downarrow c} \mathbb{E}[Y_{1i}|X_i = c] - \lim_{x \uparrow c} \mathbb{E}[Y_{i0}|X_i = c]
\end{aligned}$$

Without further assumptions α_{SRDD} *is only valid at the threshold.*

Comments on Identification

The continuity assumption says a lot:

- By saying $\mathbb{E}[Y_{1i}|X_i]$ and $\mathbb{E}[Y_{0i}|X_i]$ are continuous in X near c, we mean they are "smooth", or do not "jump" at $X = c$.
- This is why we can say:

$$\mathbb{E}[Y_{1i}|X_i = c] = \lim_{\epsilon \downarrow 0} \mathbb{E}[Y_{i1}|X_i = c + \epsilon, D_i = 1]$$

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- Implies any *unobserved influences on the potential outcomes* are also continuous in X (at $X = c$)
- Heuristically we sometimes think about "local randomization" implied by this:

$$\{Y_{1i}, Y_{0i}\} \perp\!\!\!\perp D_i | X_i \approx c$$

Duverger's Law (Eggers, 2010)

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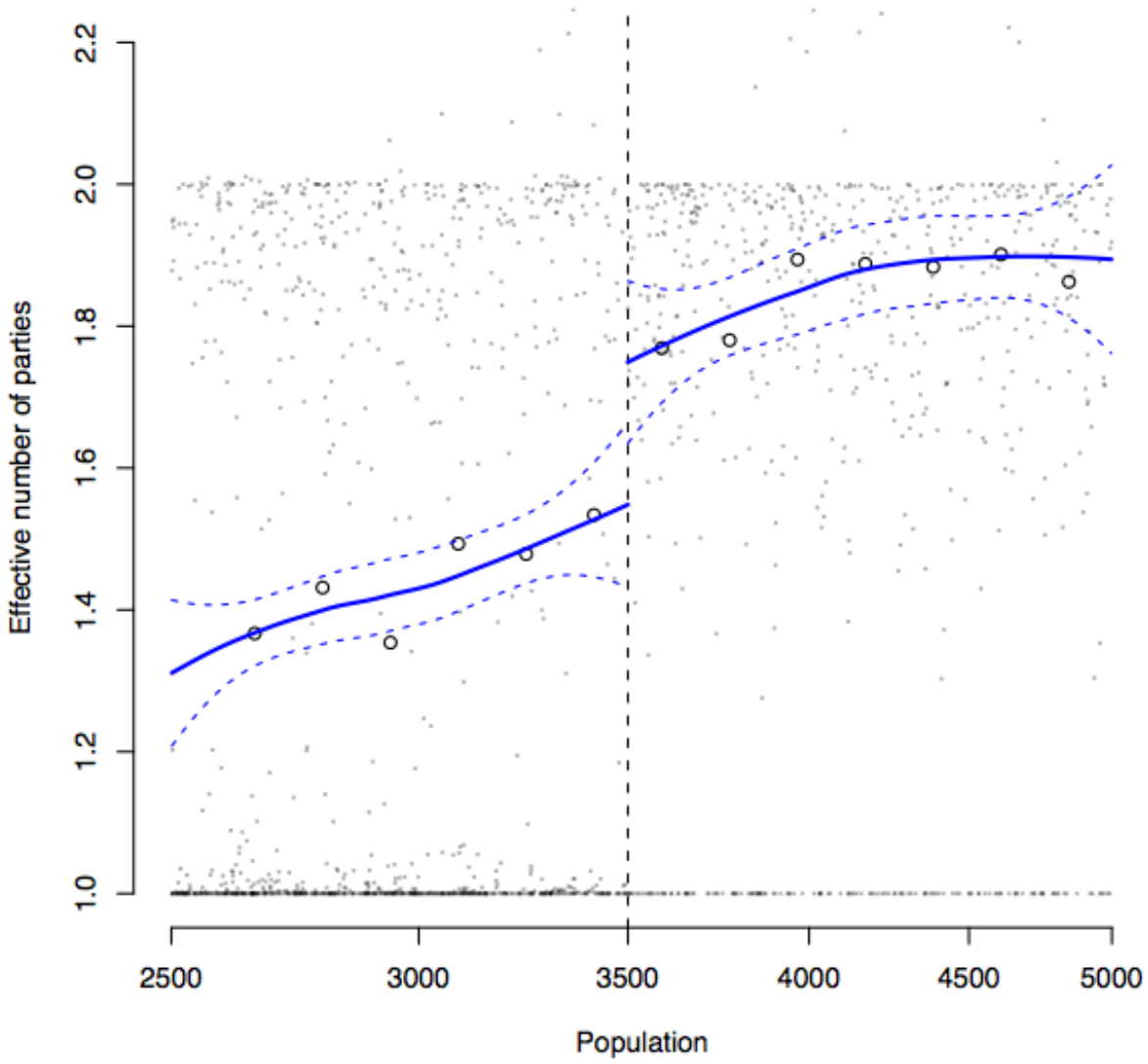
  - cities with fewer than 3,500 people use first-past-post
  - cities with a population of 3,500 or more use a form of PR rule

Sharp RDD: Duverger's Law



Sharp RDD: Electronic Voting (Hidalgo, 2012)

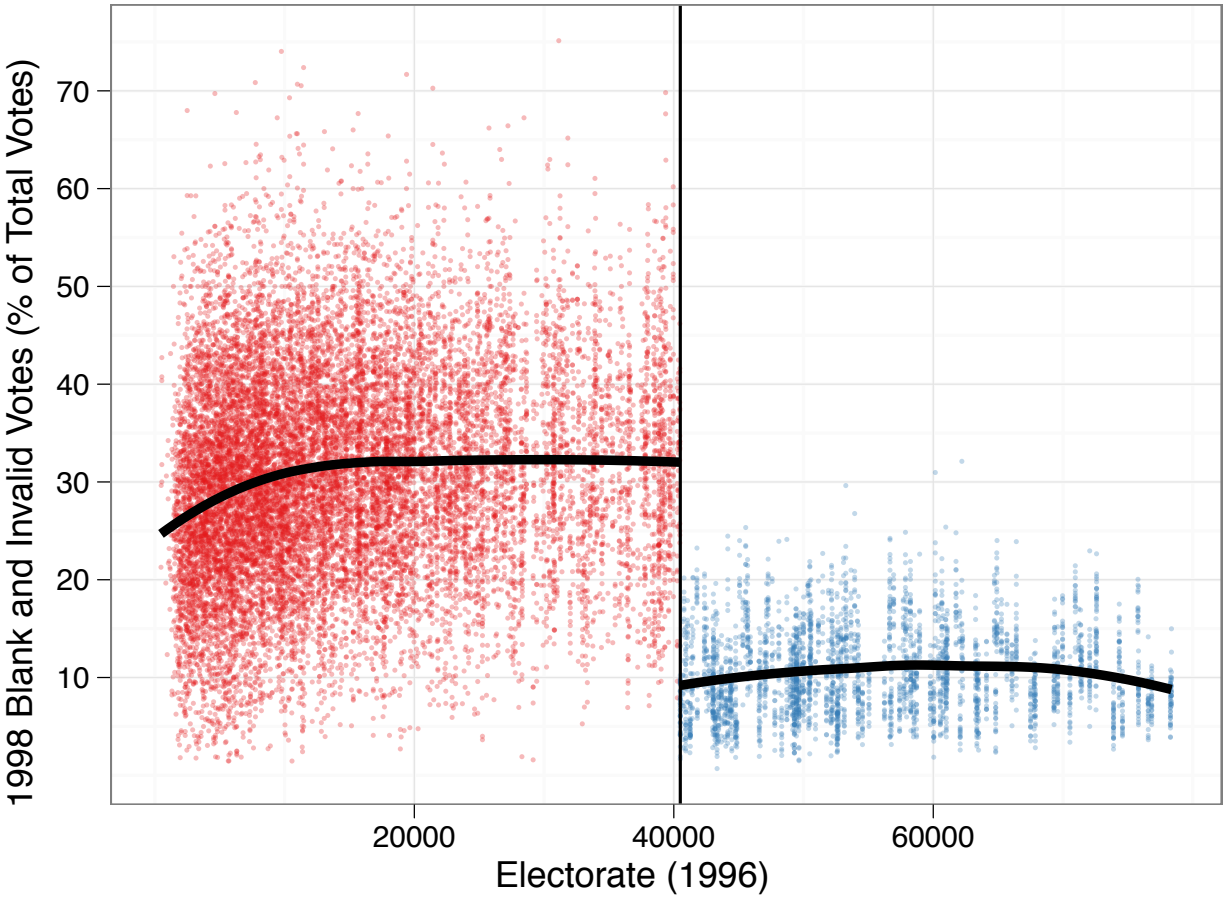
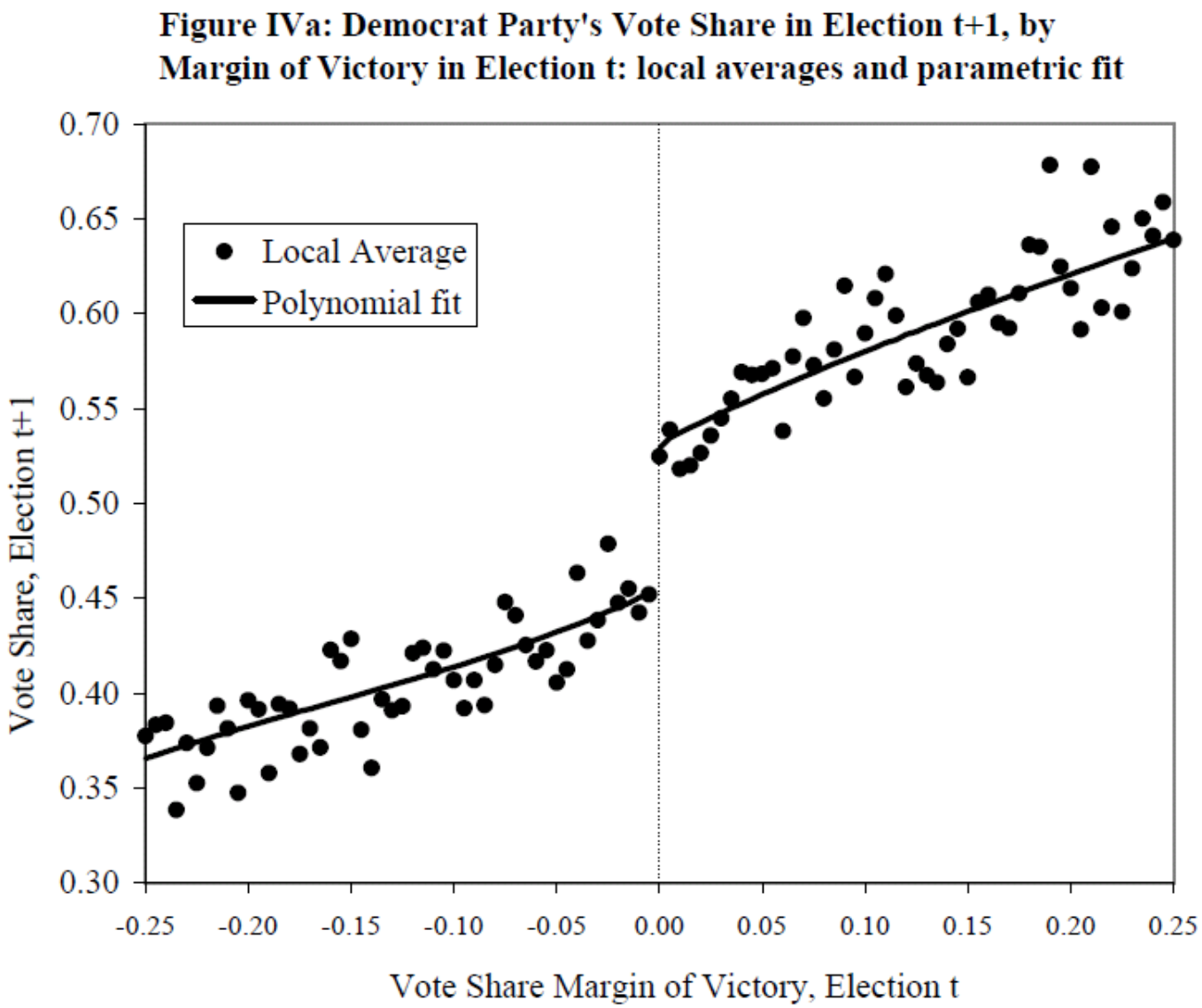


Figure 6: The effect of electronic voting on the percent of null and blank votes. Each dot is a polling station. Polling stations to the left of the vertical black line used paper ballots and polling stations to the right used electronic voting. The black horizontal line is the conditional mean of the outcome estimated with a loess regression.

Sharp RDD: Incumbency Advantage



A Few Other Examples

- Effect of class size on student achievement (Angrist and Lavy 1999)
- Effect of access to credit on development outcomes (loan offer is determined by credit score threshold)
- Effect of wage increase on performance of mayors (Ferraz and Finan 2011, Gagliarducci and Nannicini 2013)
- Effect of wining office on wealth of politicians (Eggers and Hainmueller 2009)
- Effect of school district boundaries on home values (Black 1999)
- RD that exploits “close" elections has become a workhorse model for causal inference in electoral research

  ...Lee, Moretti and Butler 2004, DiNardo and Lee 2004, Hainmueller and Kern 2008, Leigh 2008, Pettersson-Lidbom 2008, Broockman 2009, Butler 2009, Dal Bó, Dal Bó and Snyder 2009, Eggers and Hainmueller 2009, Ferreira and Gyourko 2009, Uppal 2009, 2010, Cellini, Ferreira and Rothstein 2010, Gerber and Hopkins 2011, Trounstine 2011, Boas and Hidalgo 2011, Folke and Snyder Jr. 2012, and Gagliarducci and Paserman 2012...

- But beware of “close election” designs with treatment other than “winning”
  - e.g. gender, party, education
  - RDD does NOT tell us “the effect of that characteristics”
  - it does tell us “the effect of electing somebody with that characteristic” – think about districts, not individuals as the units.

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Consider the following options:

- Do something simple: separate, linear or quadratic models.
- Use (separate) local polynomials with some kind of optimality claim for the bandwidth selection and perhaps the degree.
- Use (separate) Gaussian Processes

1. Simple, separate, linear or quadratic models

Suppose $\mathbb{E}[Y_0|X]$ and $\mathbb{E}[Y_1|X]$ are separate polynomial functions of X and the average effect of the treatment $\mathbb{E}[Y_1 - Y_0|X]$ varies with X

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E.g. quadratic,

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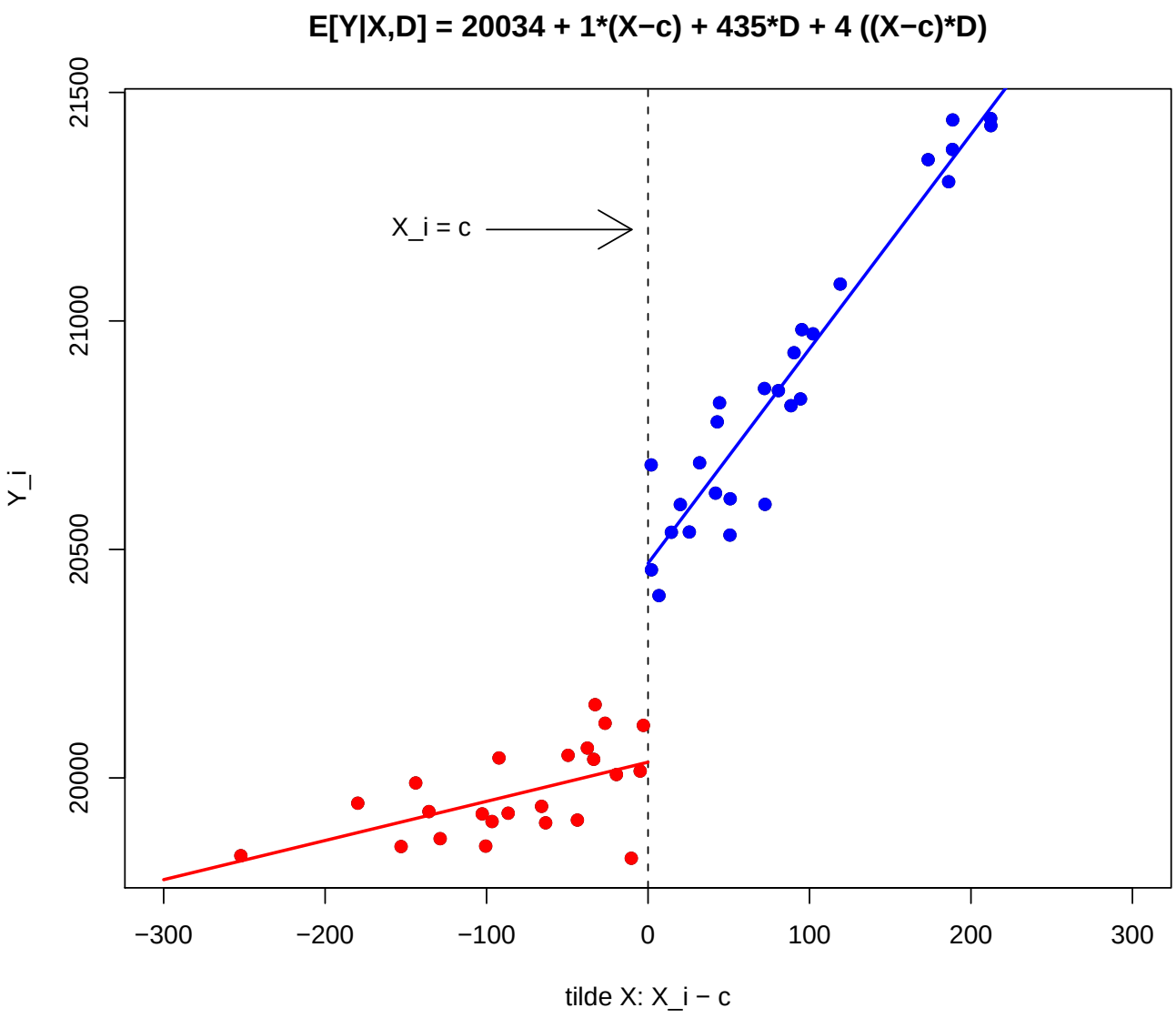
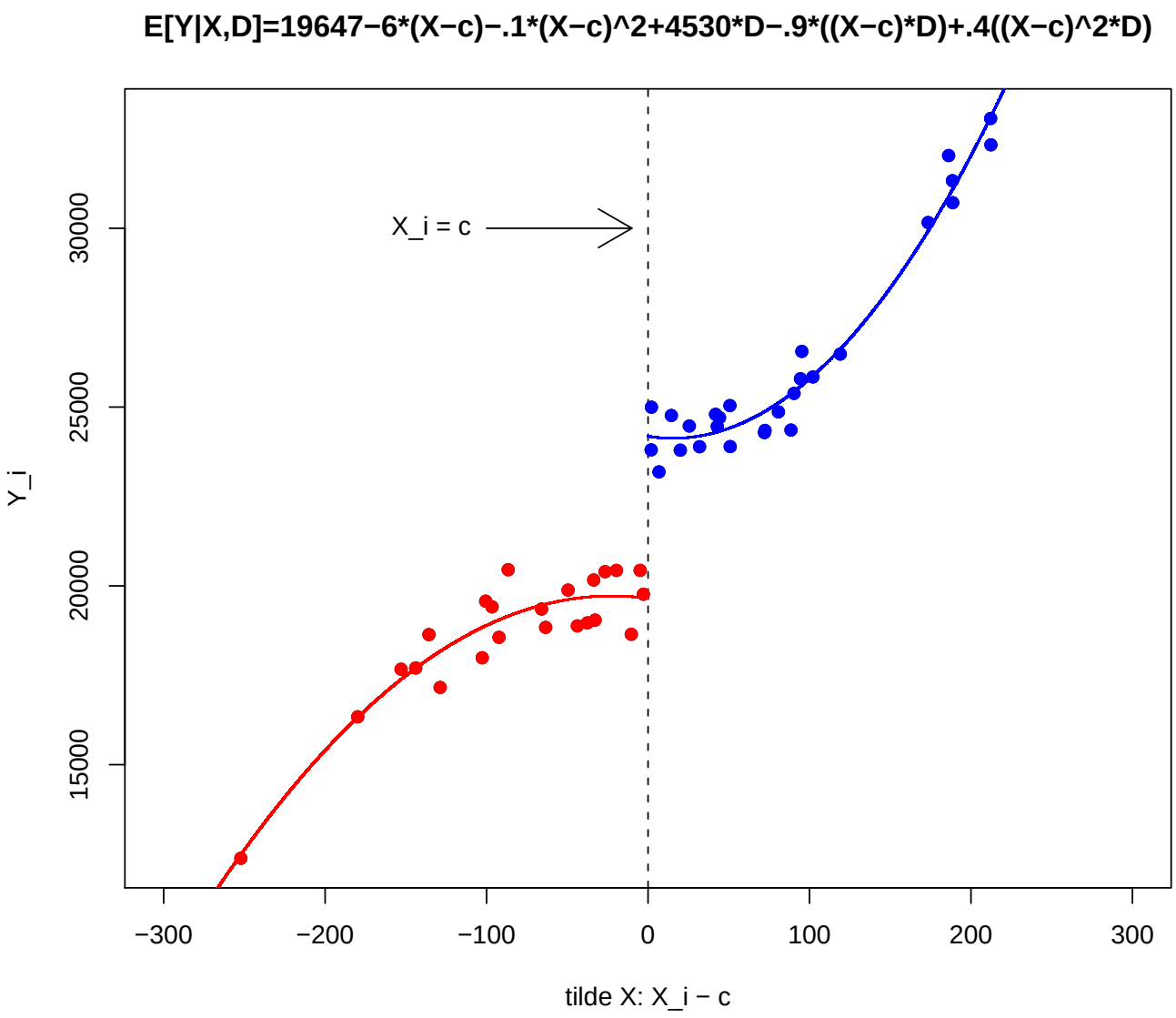
- Typically limit the data to some discontinuity window, $[c - h \leq X \leq c + h]$ first.
- Here we have $\alpha_0 = \mathbb{E}[Y_1 - Y_0|X = c]$ estimates effect at $X = c$

IMHO: This is good for just seeing your data. Quadratic is a nice balance of simple and flexible. Cubic too risky.

SRD: Linear with Differential Slope



SRD: Non-Linear Case



Option 2. Locally-weighted regression

More broadly, Non-parametric smoothers/ locally-weighted regressions

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- However, increasing evidence that this approach requires very large samples and in practice produces undercoverage, high variance (and even wild) estimates, fails to run, or ends up including data farther from cutoff than you'd like.

Option 3. Gaussian process (GP) approach

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If I tell you Y^* has mean 0 and variance σ^2, all you can believe is.

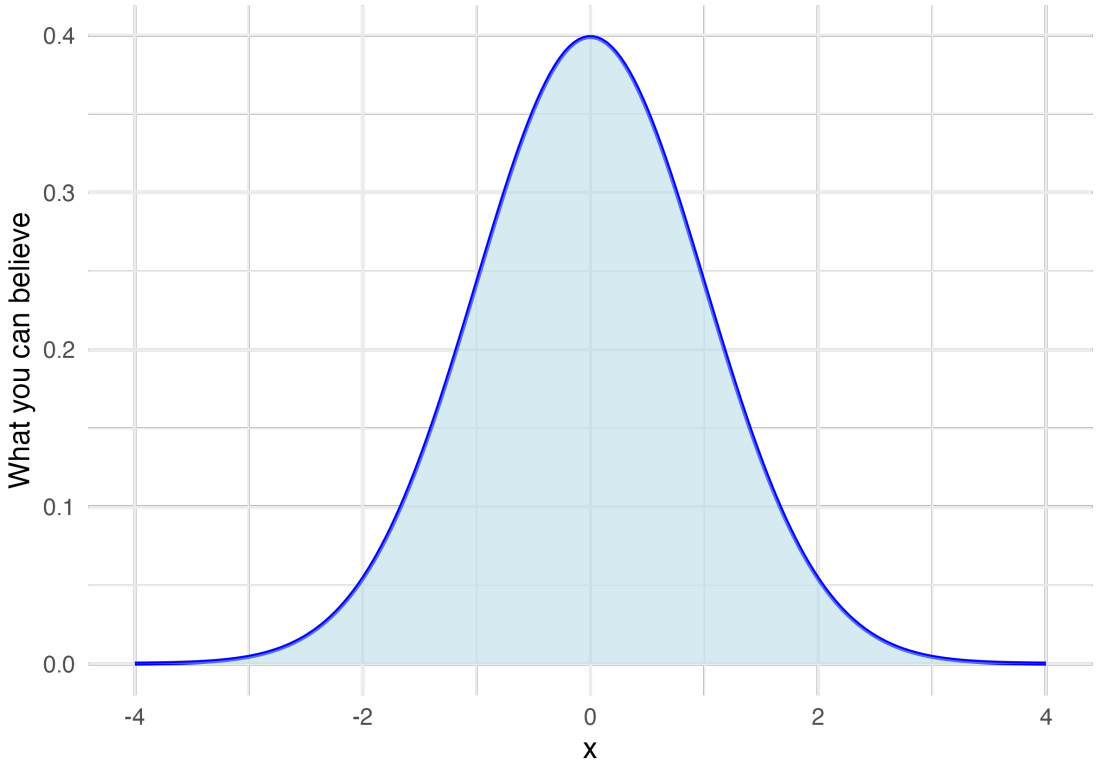

Figure: Total ignorance

GP intuition: Ignorance and neighbors

Now I tell you we see $Y_{obs} = -1$, and $cor(Y^*, Y_{obs}) = .8$. Then you believe:

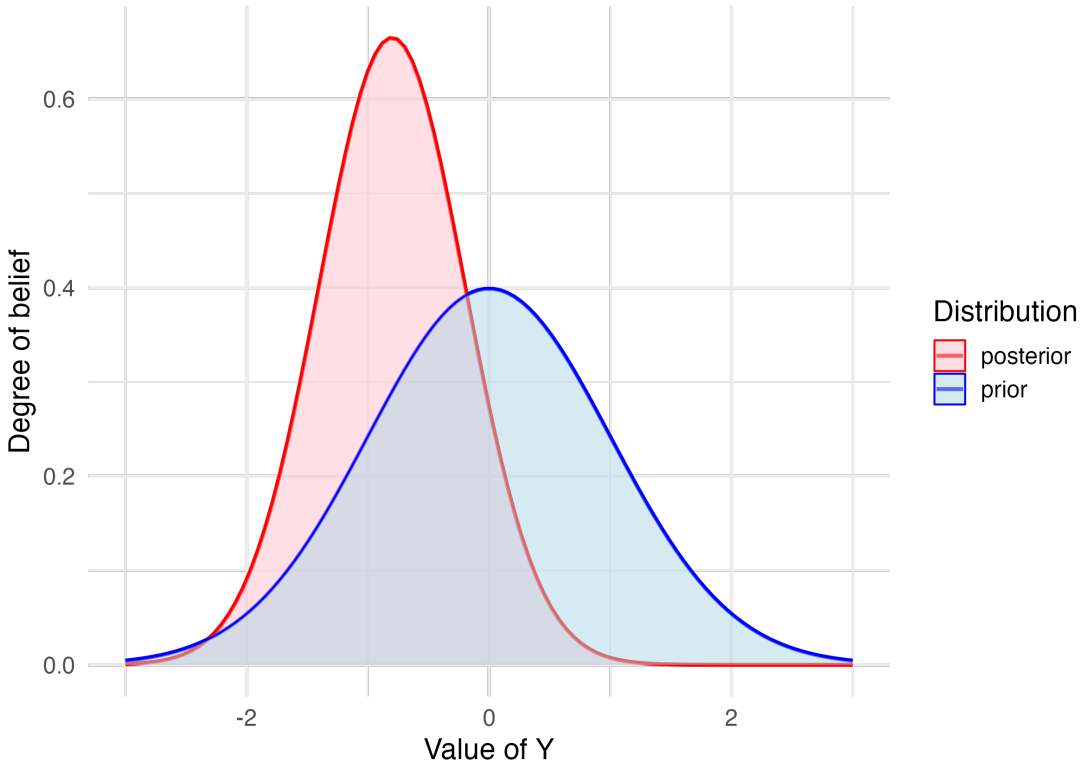

Figure: Informed ignorance

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Big idea: observations nearer each other in X should have similar Y, whatever the values:

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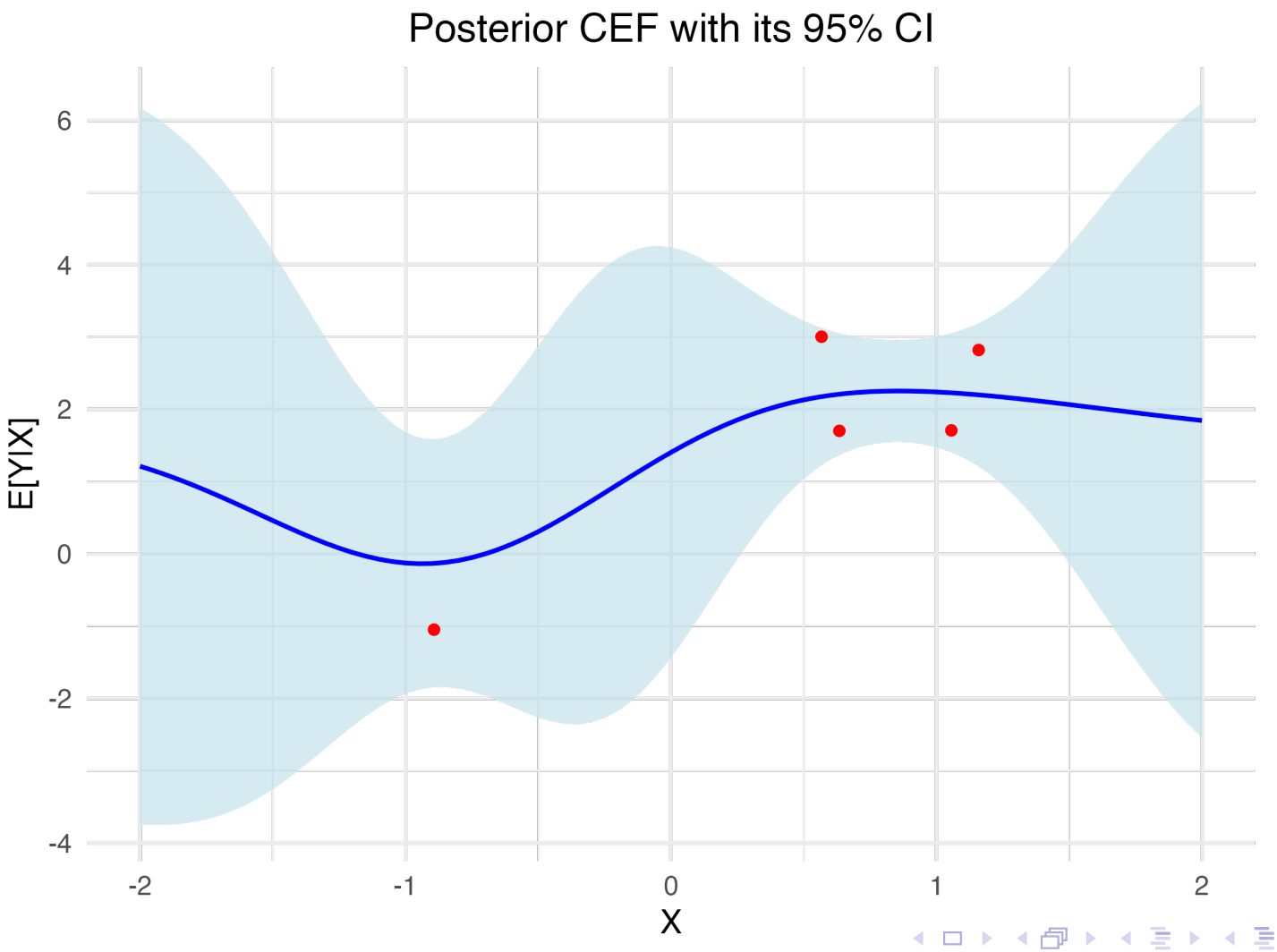
At values of x^* far from observed points, low covariance of observed outcomes with Y^* leaves us more uncertain about $p(Y^*)$.

Inferences given a few observations

Given GP assumptions and 5 observations of $\{X_i, Y_i\}$, ask for predictions at any X:



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7. "Conditioning on the observations", beliefs about the distribution of test points (Y^*) is
$$Y^* \sim \mathcal{N}(\mathbf{K}_* \underbrace{(\mathbf{K} + \sigma^2 I)^{-1} Y}_{\text{coefs.}}, \underbrace{\mathbf{K}_{*,*} + \sigma^2 I}_{\text{prior var}} - \underbrace{\mathbf{K}_*^\top (\mathbf{K} + \sigma^2 I)^{-1} \mathbf{K}_*}_{\text{reduction due to data}}) \quad (1)$$

Case 3: Regression Discontinuity

RD requires estimating to the edge of the data, or slightly past it:

- $\widehat{Y(0)}_{Z=c}$: Train $\mathbb{E}[Y(0)|Z]$ on $Z < c$ and predict at $Z = c$
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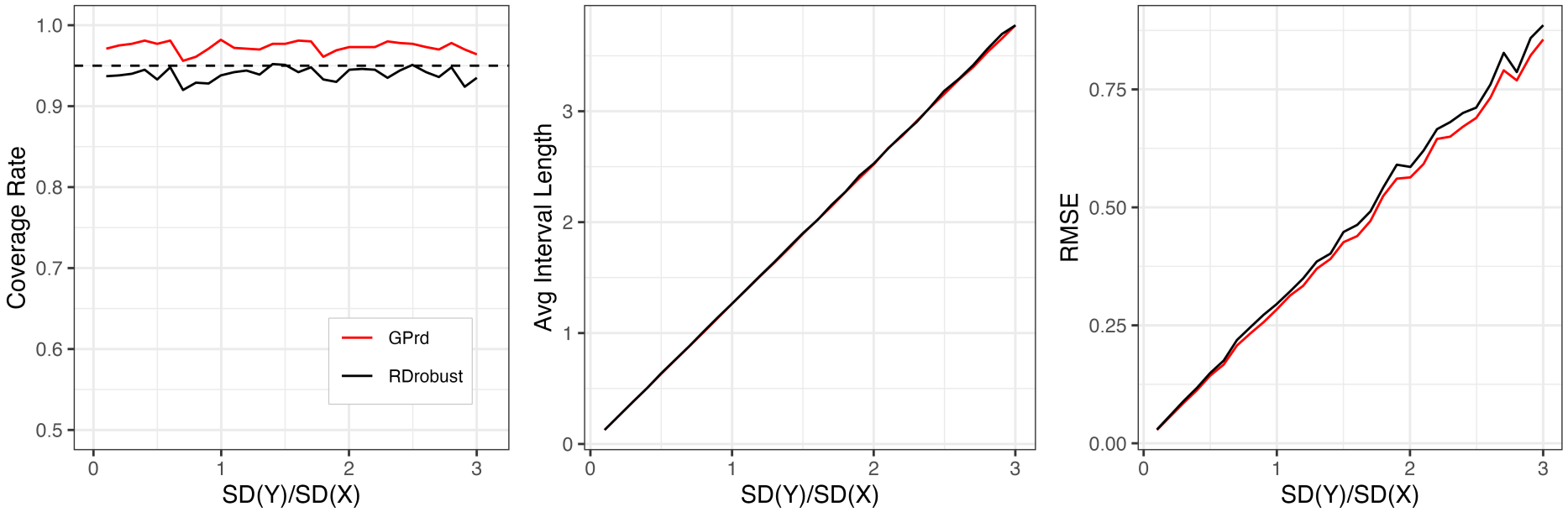
- Does not require large samples for reasoned inference

RD: random Z and Y, large sample

$\tau = 3$ (or $\tau = 0$), $N = 500$, `rdrobust` at defaults (robust estimate), `GPrd` at defaults



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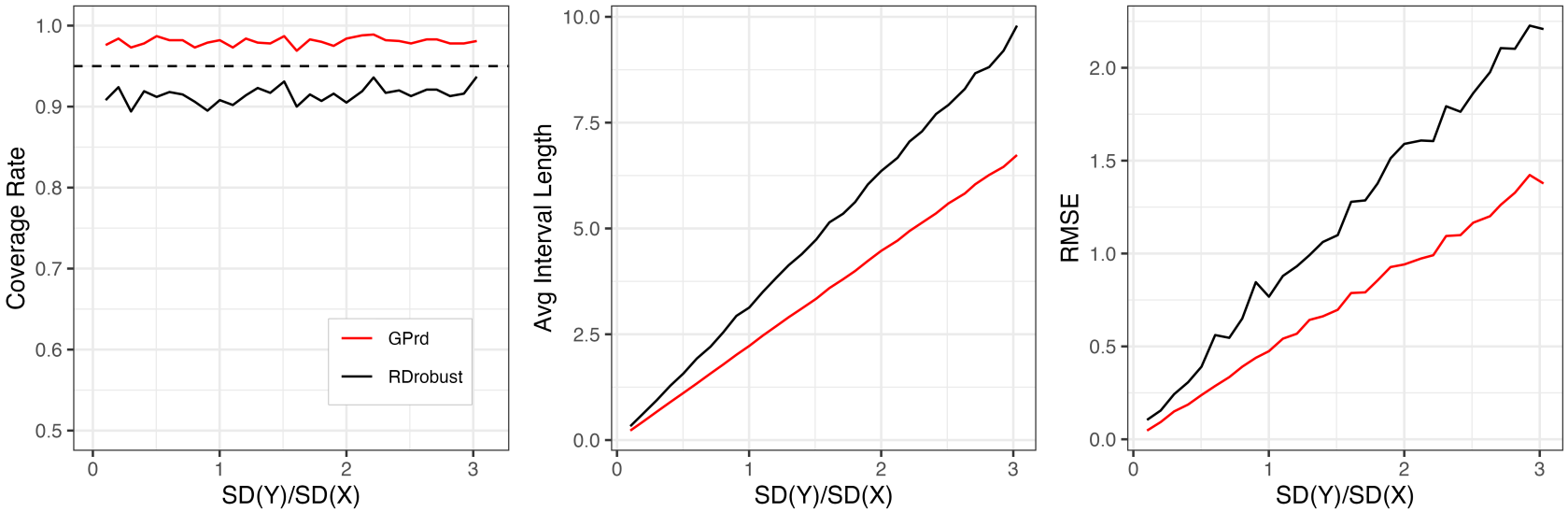

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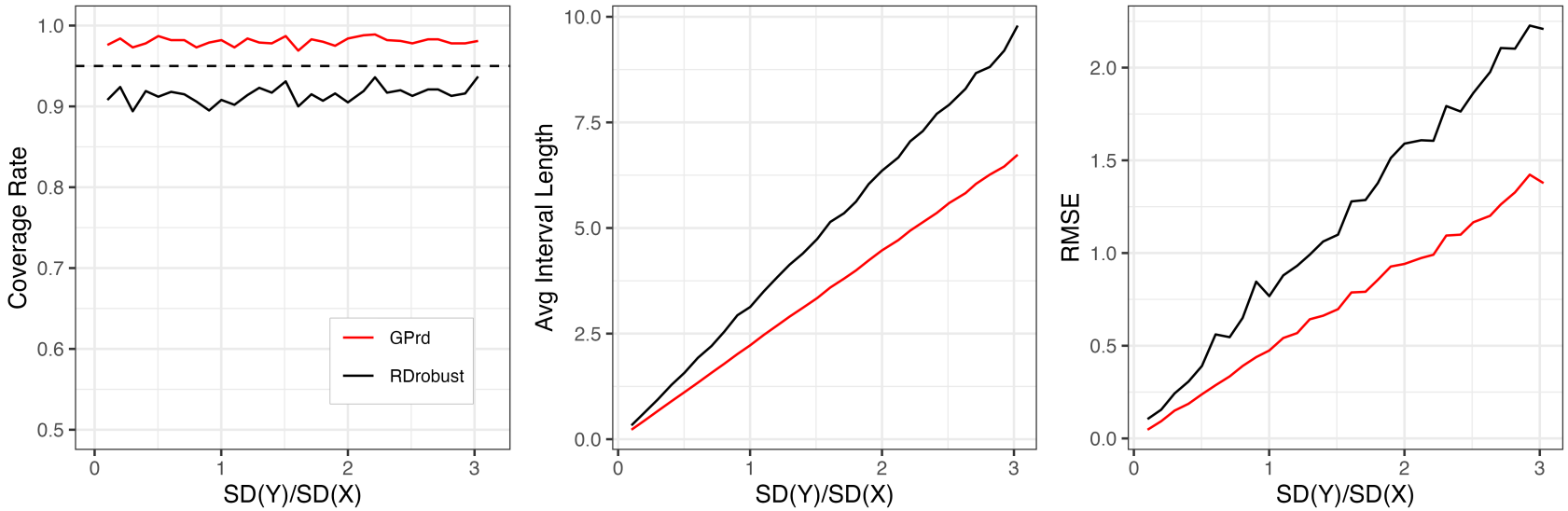

Turns out the improved RMSE is the big story, and relates to GP's regularization on each side whereas polynomials can go a little crazy.

Placebo cutoffs in close elections (application)

Lee (2004) close election setting:

- Forcing variable: Democrats' vote share in US House election (1948 - 1990)
- Outcome variable: ADA score (liberal vote score of each representative)

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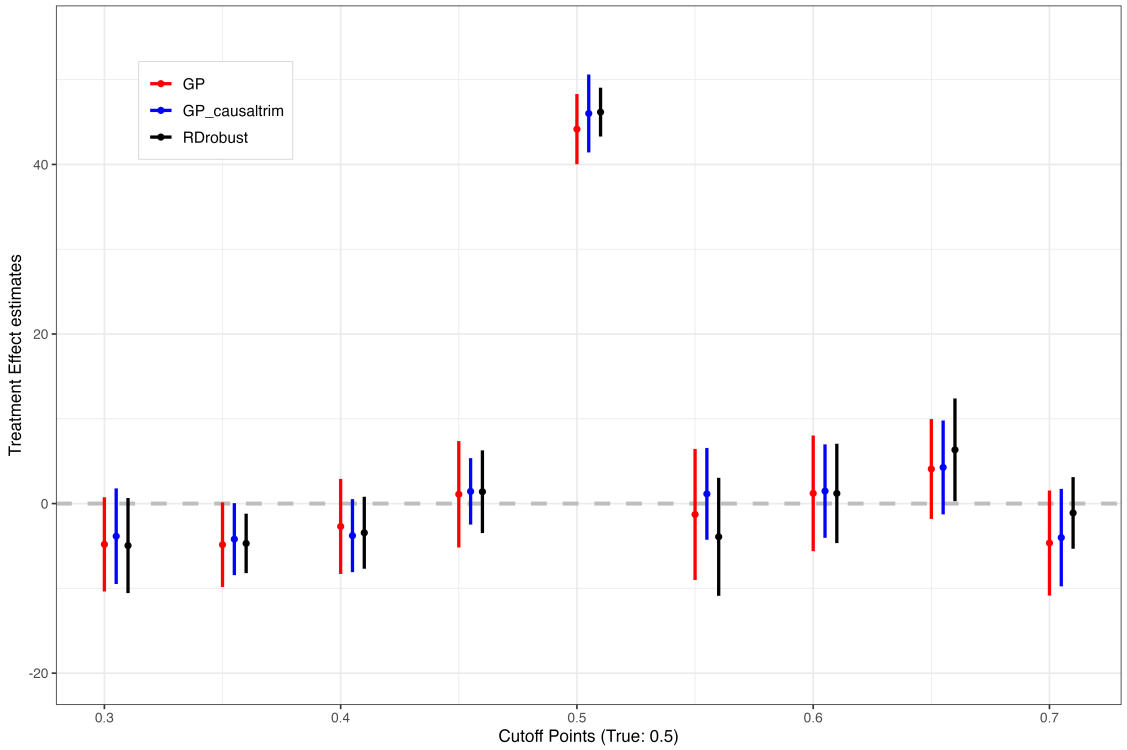
Another twist: Should our RD estimates be informed by some *causal assumptions* regarding comparability?

- Should we worry if an automated RD procedure chooses a very wide bandwidth?
- In the `gp_causaltrim` approach we:
  1. use small bandwidth to limit comparison range: e.g. within 2% vote share, cov=cor=0.9 $\rightarrow$ b=0.005
  2. trim: remove data outside useful range ($\pm$10%, so scaling and σ^2 choice are focused)

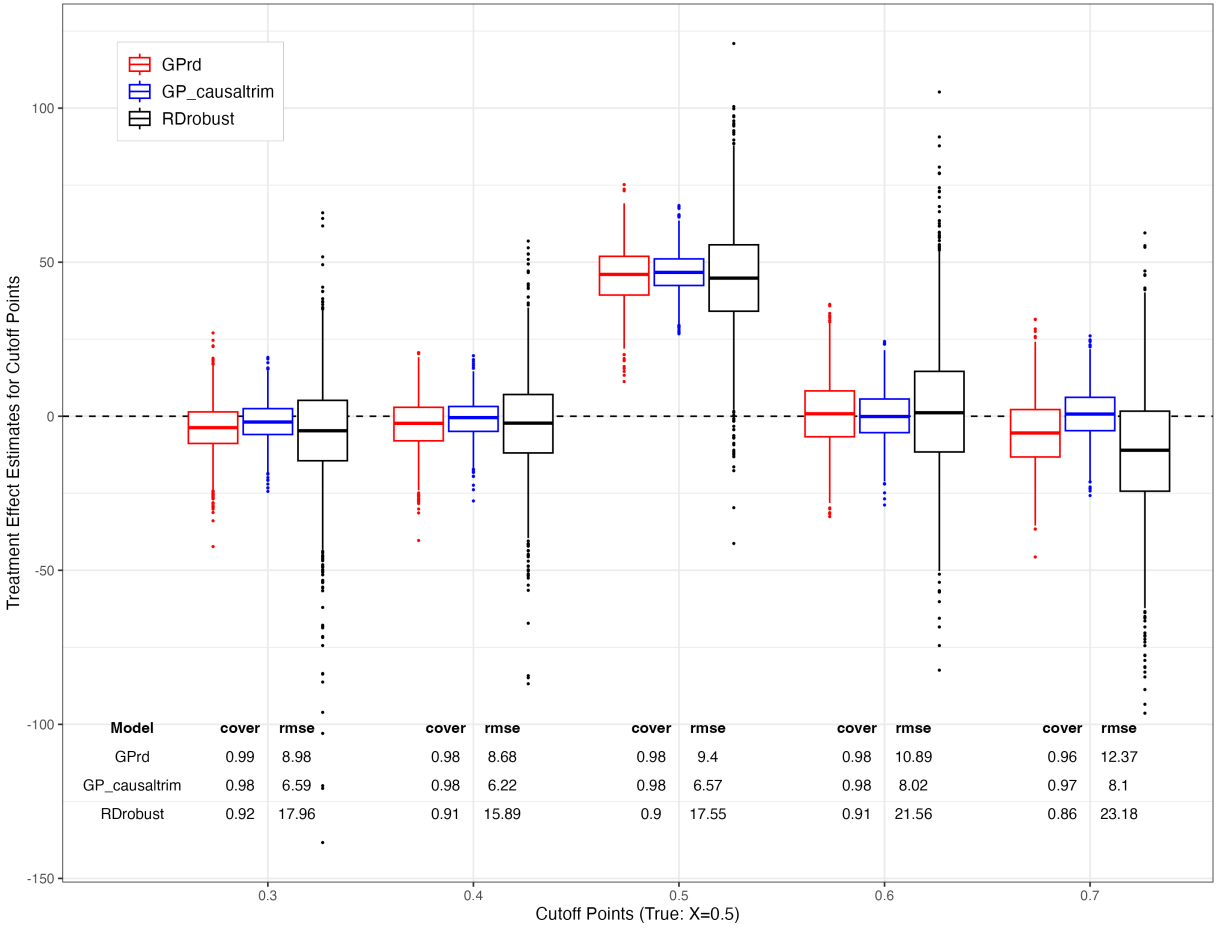
Placebo cutoffs in close elections: Large sample

Full sample: $N = 13,577$ (each analysis sees only part of this)



Placebo cutoffs in close elections: Small samples

Repeated sampling of sub-samples: $N = 200$ in each segment

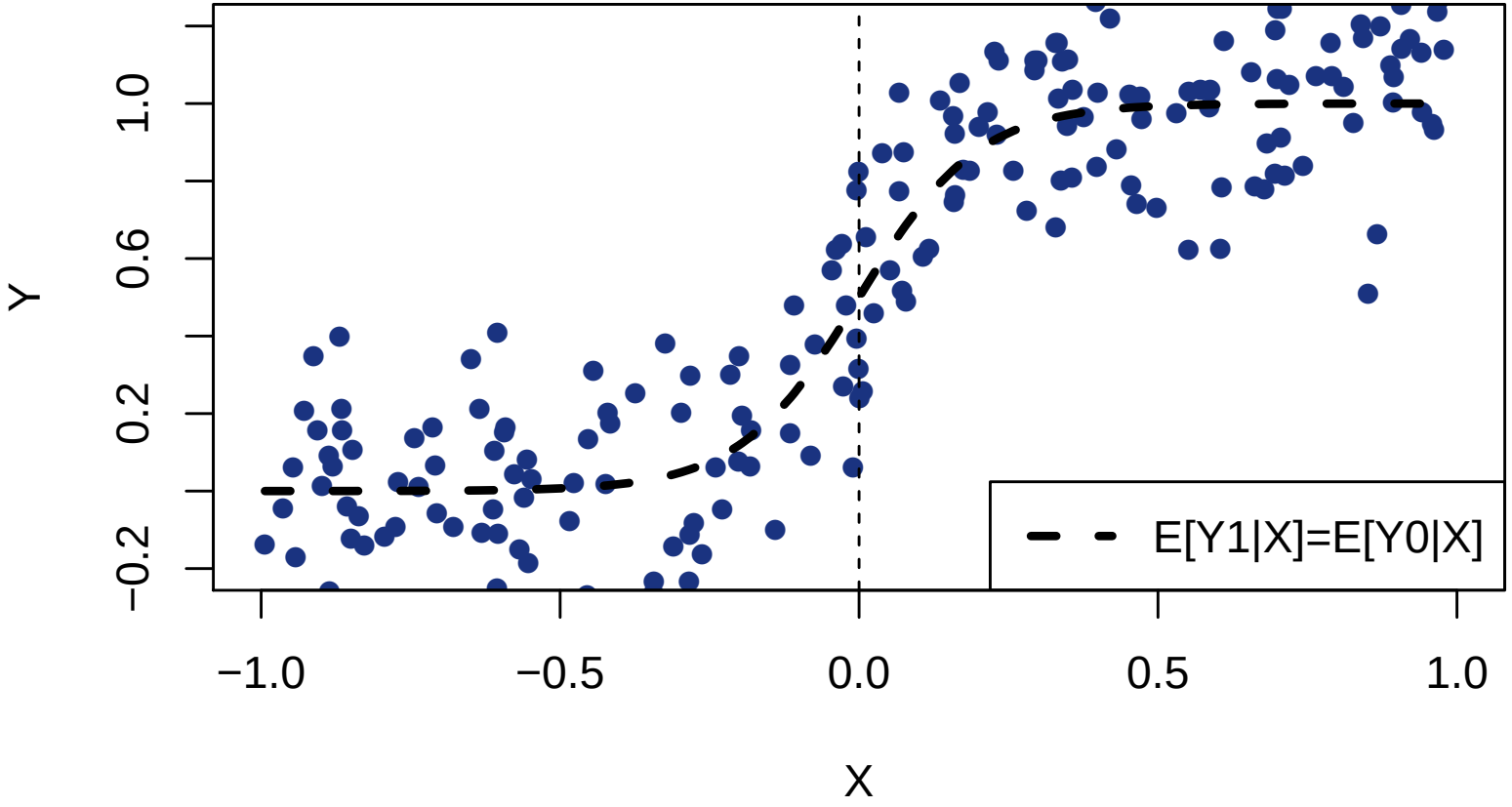


Model	cover	rmse	cover	rmse	cover	rmse	cover	rmse	cover	rmse
GPrd	0.99	8.98	0.98	8.68	0.98	9.4	0.98	10.89	0.96	12.37
GP_causaltrim	0.98	6.59	0.98	6.22	0.98	6.57	0.98	8.02	0.97	8.1
RDrobust	0.92	17.96	0.91	15.89	0.9	17.55	0.91	21.56	0.86	23.18

Sharp RDD: Falsification Checks

1. Specification sensitivity: Are results sensitive to alternative specifications?
2. Balance Checks: Do covariates Z jump at the threshold?
3. Check if jumps occur at placebo thresholds $c^{\star}$?
4. Sorting: Do units sort around the threshold? (density test)

Sharp RDD: Risk of Mispecification



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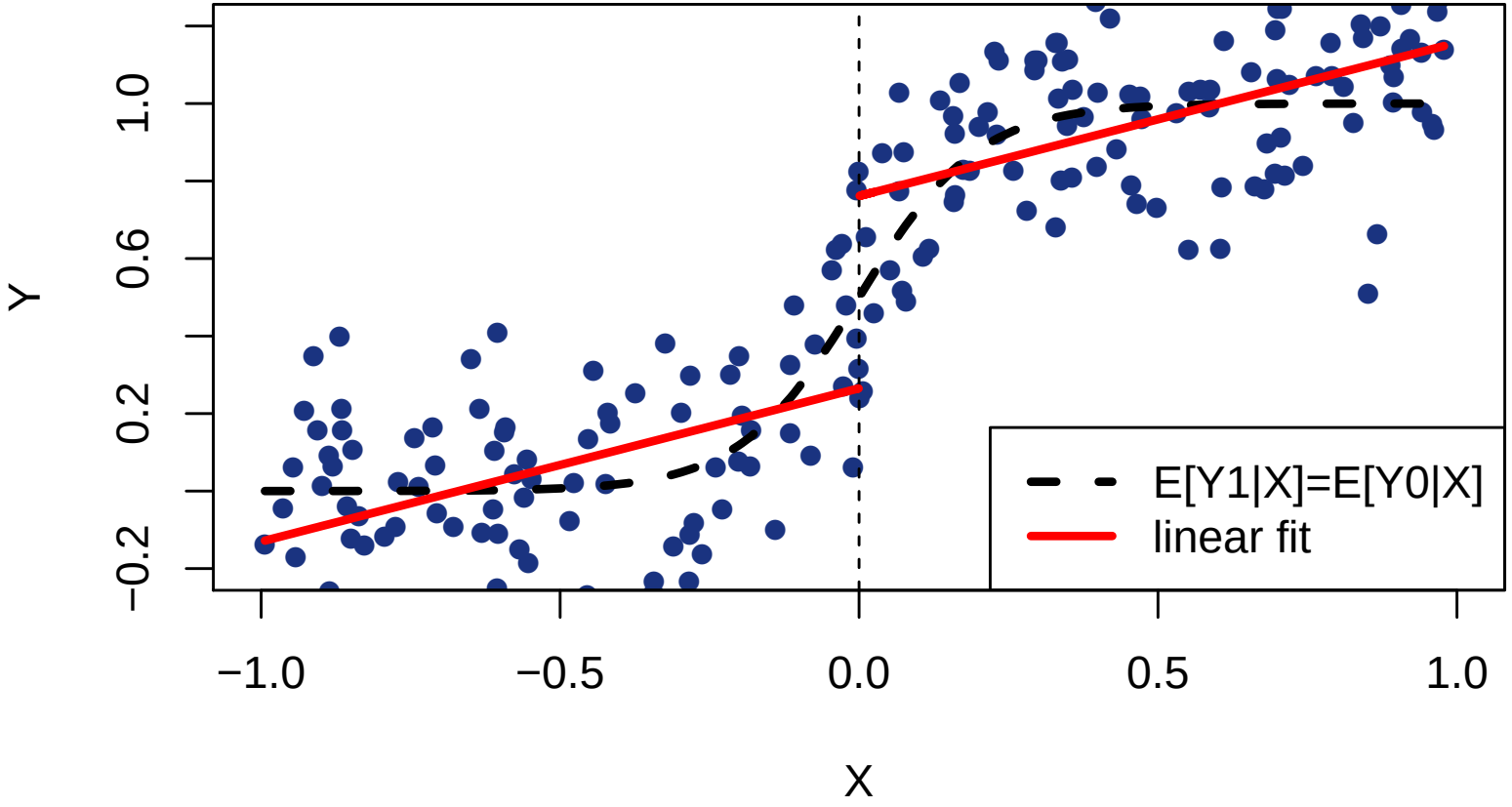
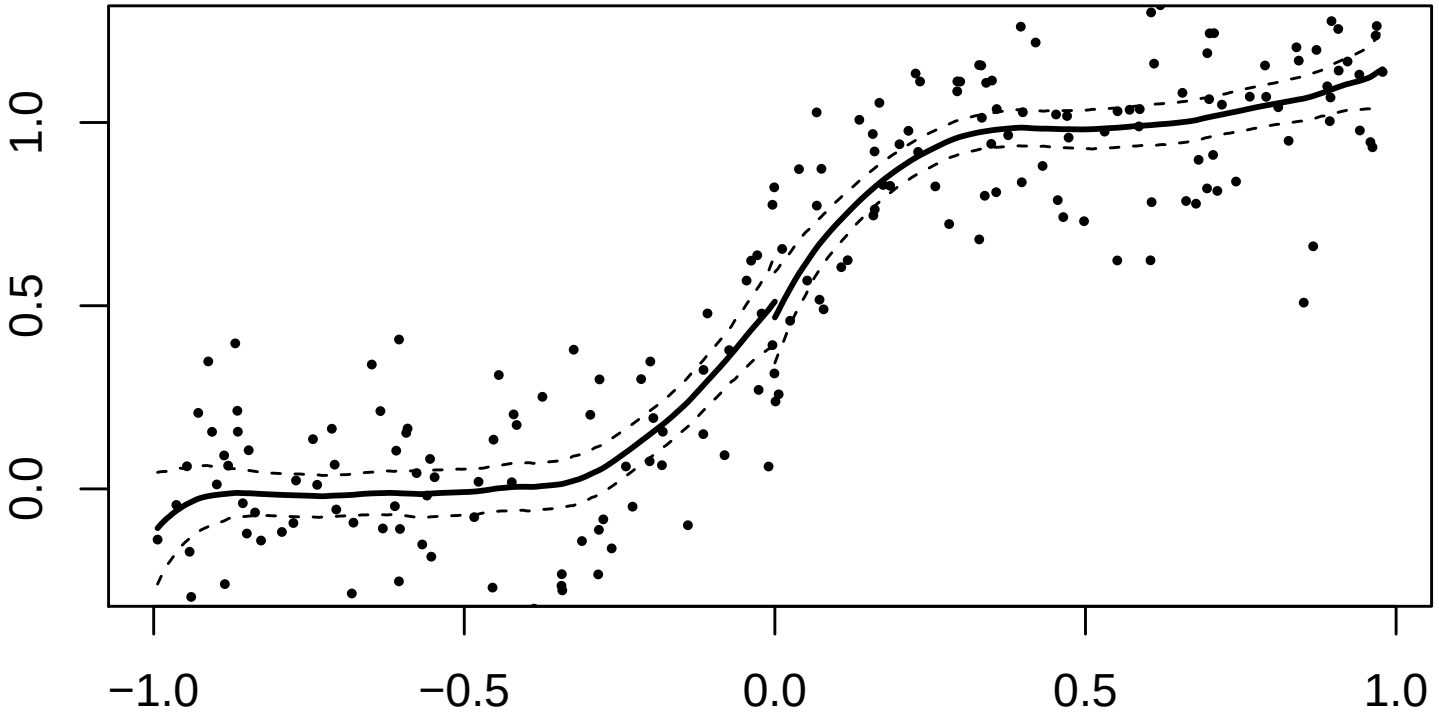


Sharp RDD: Risk of Mispecification

Using Imbens-Kalyanaraman bandwidth in `RDD`



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$$\mathbb{E}[Z_i|X_i, D_i] = \beta_0 + \beta_1(X_i - c) + \alpha_z D_i + \beta_3(X_i - c) \cdot D_i$$

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As usual, balance checks are falsification tests. Remember unobservables.

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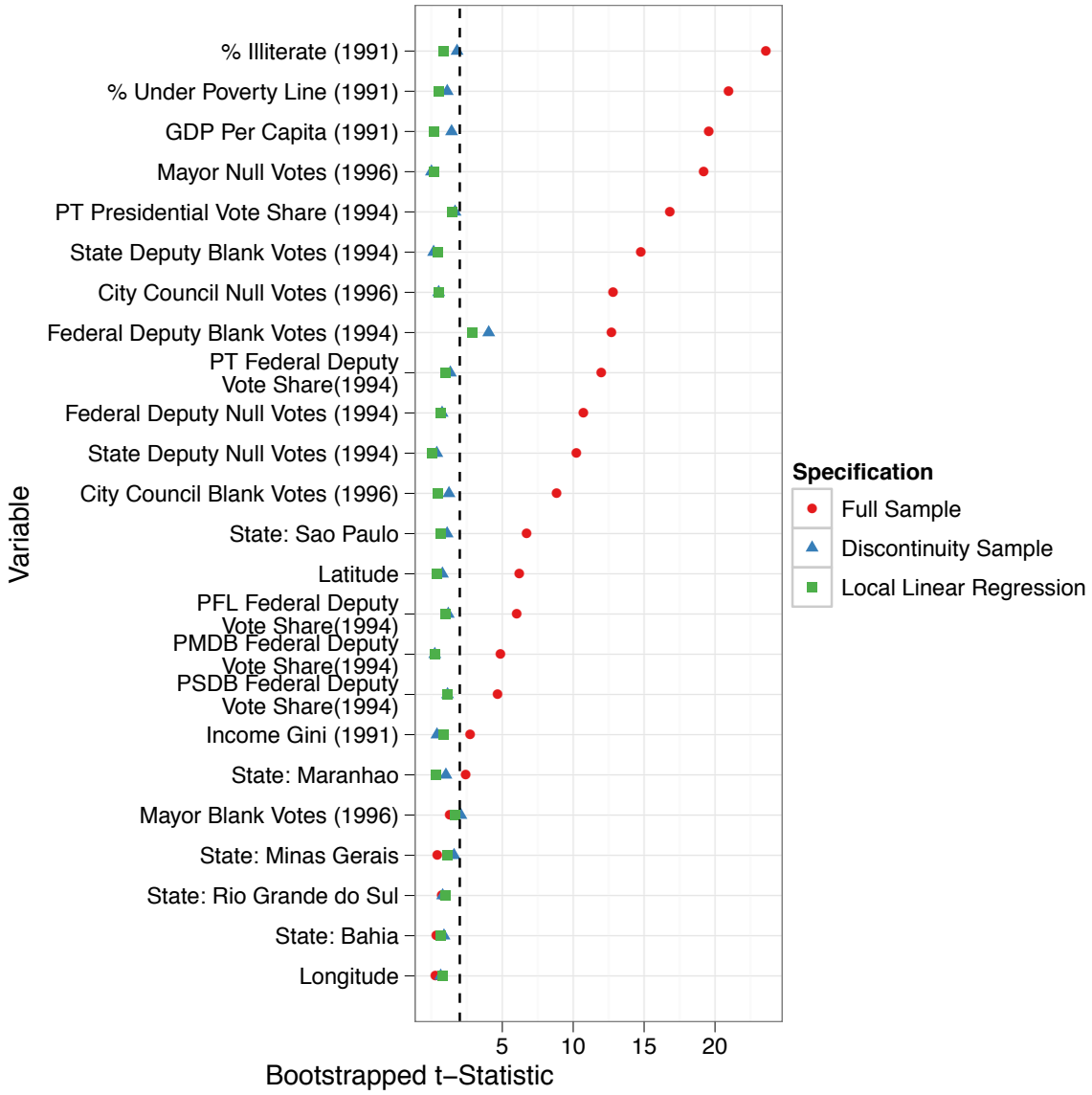
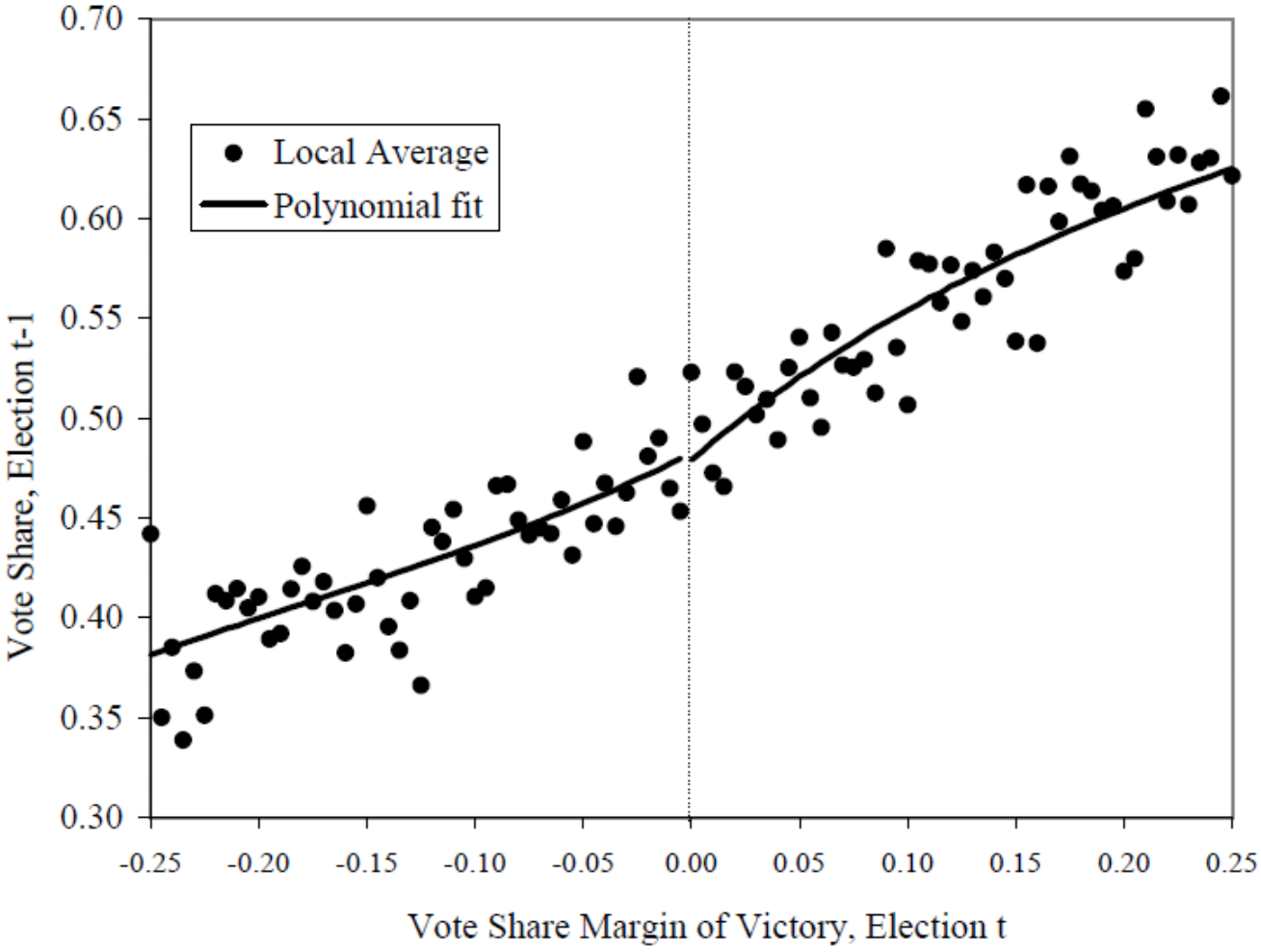


SRDD: Falsification Test

Especially convincing to do this with placebo outcome, i.e. covariates likely related to potential outcomes but not influenced by treatment.



SRDD: Placebo Thresholds

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- Usually we run separate models below and above c, with bandwidth to exclude c, to avoid misspecification due to inclusion of the actual jump.
- Detecting a jump at placebo threshold requires an explanation.
  - e.g. if other treatments occurred near $c^\star$, it could be okay
  - but problematic if it implies unknown treatments or unobserved influences may account for effect at c
  - can also reveal specification problems, as your model could be guessing a discontinuous jump occurs where it was actually smooth

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  - (b) if some people can sort very precisely, RDD may be biased but less biased then naive comparison

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Test for discontinuity in density of forcing variable:

- Visual Histogram Inspection:
  - Construct equal-sized non-overlapping bins of the forcing variable s.t. no bin includes points both above and below c
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- Formal test: McCrary (2008)

Self-sorting simulation

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>c=.5
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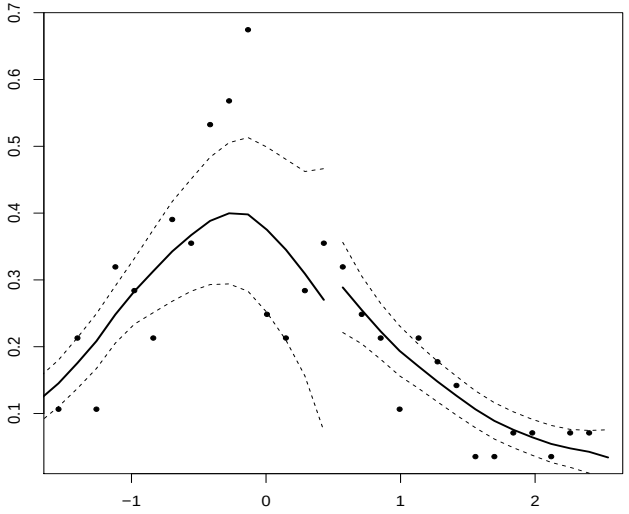

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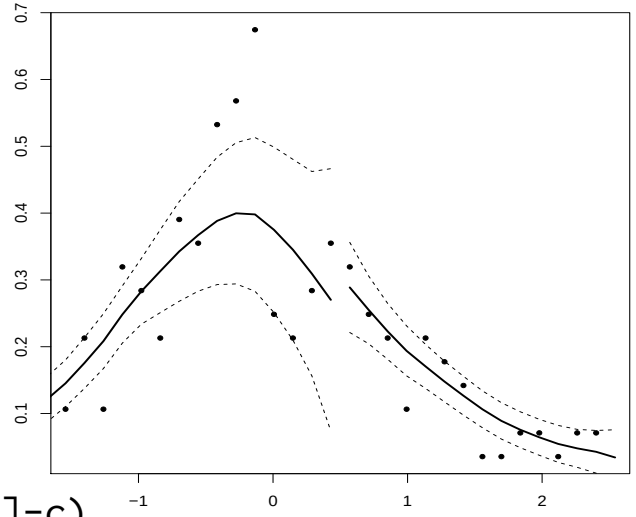


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> sortprob=rep(0,N)
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> runvar[selfsorts==1]=.5+
runif(sum(selfsorts),.001,.5)
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[1] 0.0001952333
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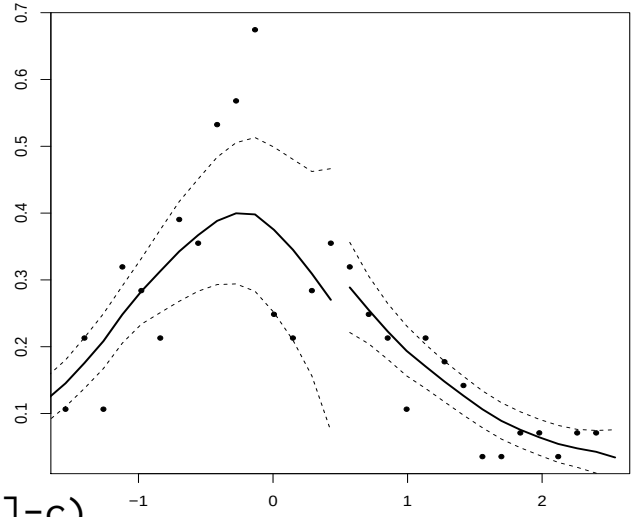


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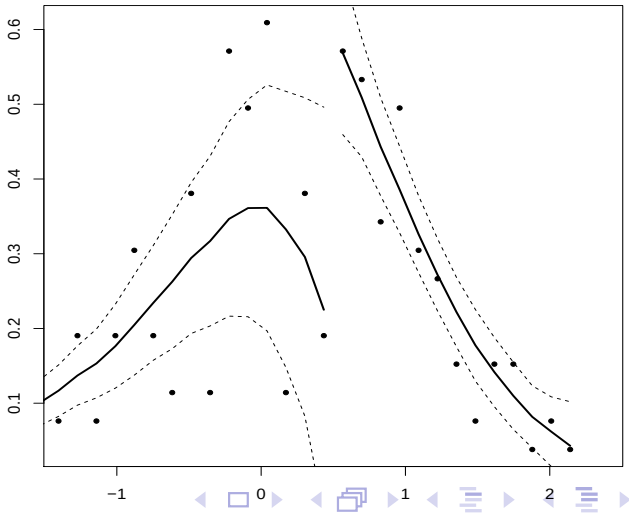
> runvar[selfsorts==1]=.5+
runif(sum(selfsorts),.001,.5)
> DCdensity(runvar, cutpoint=c)
[1] 0.0001952333
```



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- Worry about commonly used eligibility criteria, political borders.

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We can use discontinuities to produce instrumental variable estimators of the effect of the treatment (close to the discontinuity)

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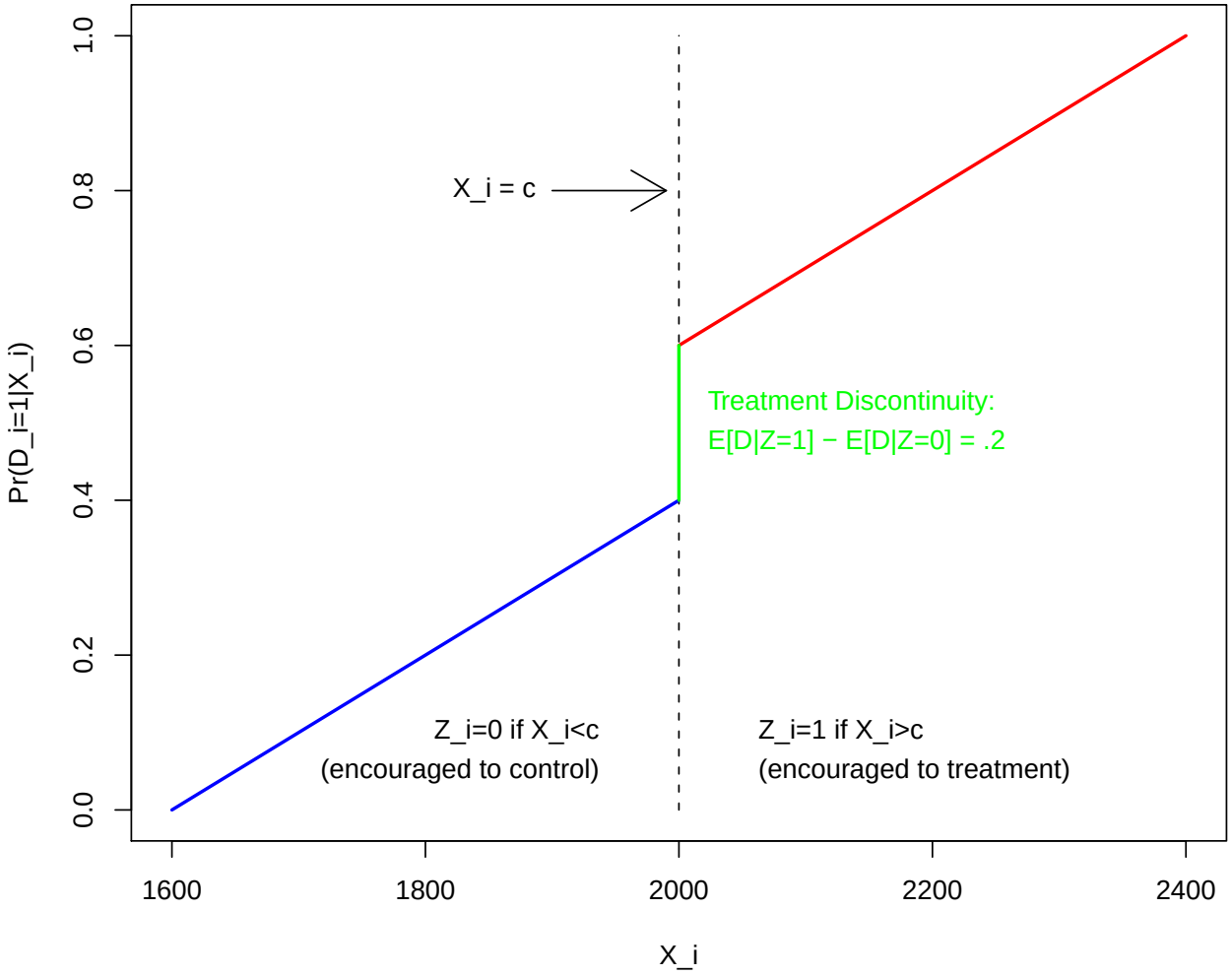
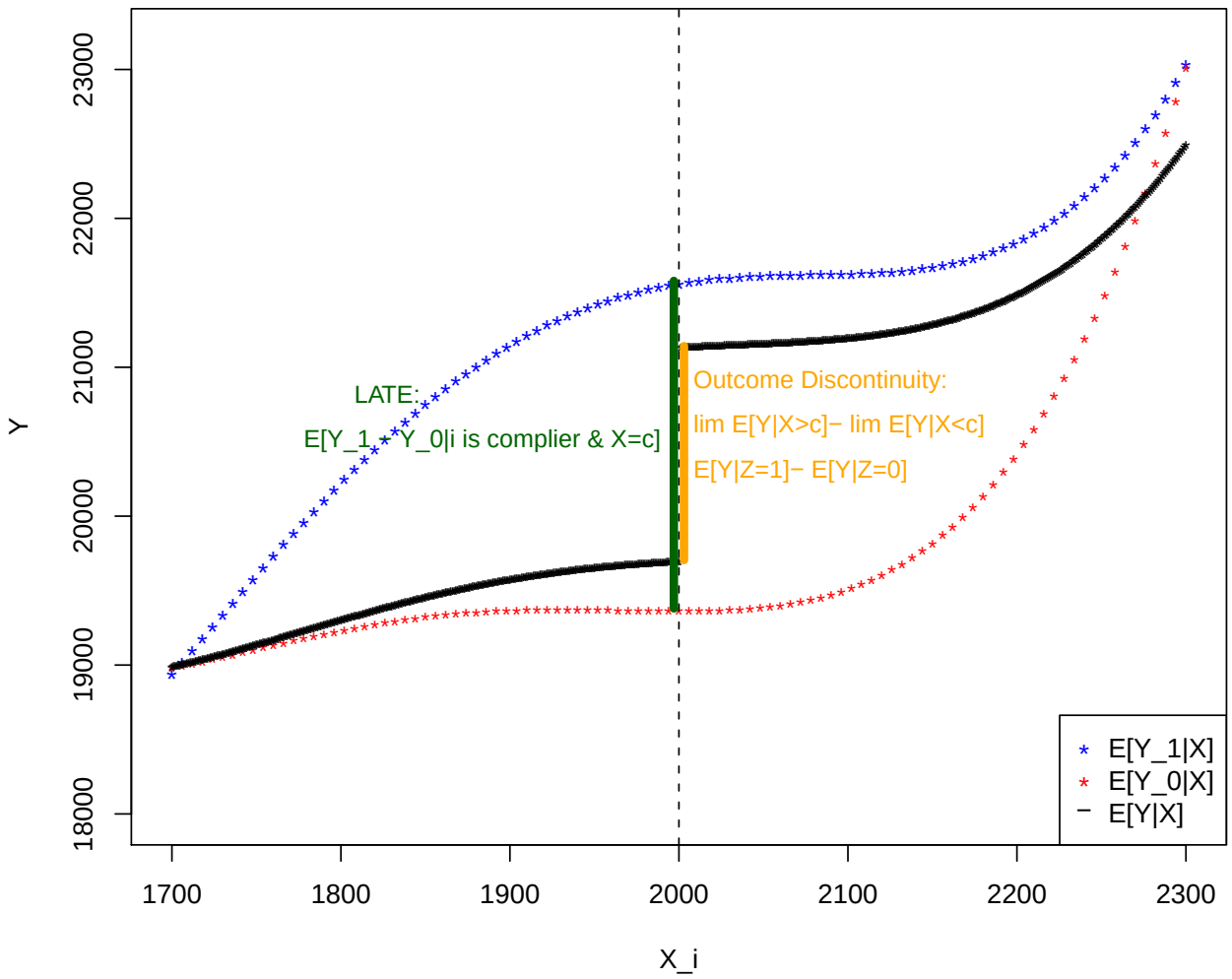
- Who are compliers in this framework?

Fuzzy RDD: Discontinuity in $\mathbb{E}[D|X]$



Fuzzy RDD: Discontinuity in $\mathbb{E}[Y|X]$



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Identification Result

$$\begin{aligned}
\alpha_{FRDD} &= \mathbb{E}[Y_{1i} - Y_{0i} | X_i = c \text{ and } i \text{ is a complier}] \\
&= \frac{\lim_{x \downarrow c} \mathbb{E}[Y_i | X_i = c] - \lim_{x \uparrow c} \mathbb{E}[Y_i | X_i = c]}{\lim_{x \downarrow c} \mathbb{E}[D_i | X_i = c] - \lim_{x \uparrow c} \mathbb{E}[D_i | X_i = c]} \\
&= \frac{\textit{outcome discontinuity}}{\textit{treatment discontinuity}} \\
&\approx \frac{\hat{\mathbb{E}}[Y | Z = 1, X = c] - \hat{\mathbb{E}}[Y | Z = 0, X = c]}{\hat{\mathbb{E}}[D | Z = 1, X = c] - \hat{\mathbb{E}}[D | Z = 0, X = c]}
\end{aligned}$$

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- Better: use polynomials
- Better still: estimate the outcome discontinuity and treatment discontinuity, then divide. Can use any estimator this way. `rdrobust` can do this for you.

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- How valid are the identification assumptions?

Table 1: Descriptive Statistics for Prisoners Released by Length of Sentence and HDC and Non HDC Discharges

Panel A - Released Before 3 Months:			
Discharge Type	**Non HDC**	**HDC**	**Total**
Percentage Female	12.2	-	12.2
Mean Age	29.5	-	29.5
Percentage Incarcerated for Violence	17.6	-	17.6
Mean Number Previous Offences	8.8	-	8.8
Recidivism within 12 Months	52.4	-	52.4
Sample Size	42,987	0	42,987
Panel B - Released Between 3 and 6 Months:			
Discharge Type	**Non HDC**	**HDC**	**Total**
Percentage Female	8.8	8.8	8.8
Mean Age at Release	27.6	30.8	28.4
Percentage Incarcerated for Violence	20.3	18.3	19.8
Mean Number Previous Offences	10	6.5	9.1
Recidivism within 12 Months	60	30.2	52.6
Sample Size	52,091	17,222	69,313

Table 2: Descriptive Statistics for Prisoners Released by Length of Sentence and HDC and Non HDC Discharges and +/-7 Days Around Discontinuity Threshold

Panel A - Released +/- 7 Days of 3 Months (88 Days) Cut-off:			
Discharge Type	**Non HDC**	**HDC**	**Total**
Percentage Female	10.5	9.7	10.3
Mean Age at Release	28.9	30.7	29.3
Percentage Incarcerated for Violence	19.8	18.2	19.4
Mean Number Previous Offences	9.5	5.7	8.7
Recidivism within 12 Months	54.6	28.1	48.8
Sample Size	18,928	5,351	24,279
Panel B - Released +/- 7 Days of 3 Months (88 Days) Cu-off:			
Day of Release around Cut-off	**- 7 Days**	**+ 7 Days**	**Total**
Percentage Female	11	10.2	10.3
Mean Age at Release	28.8	29.4	29.3
Percentage Incarcerated for Violence	17.1	19.7	19.4
Mean Number Previous Offences	9.1	8.6	8.7
Recidivism within 12 Months	56.8	47.9	48.8
Percentage Released on HDC	0	24.4	22
Sample Size	2,333	21,946	24,279

Figure 1: Proportion Discharged on HDC by Sentence Length

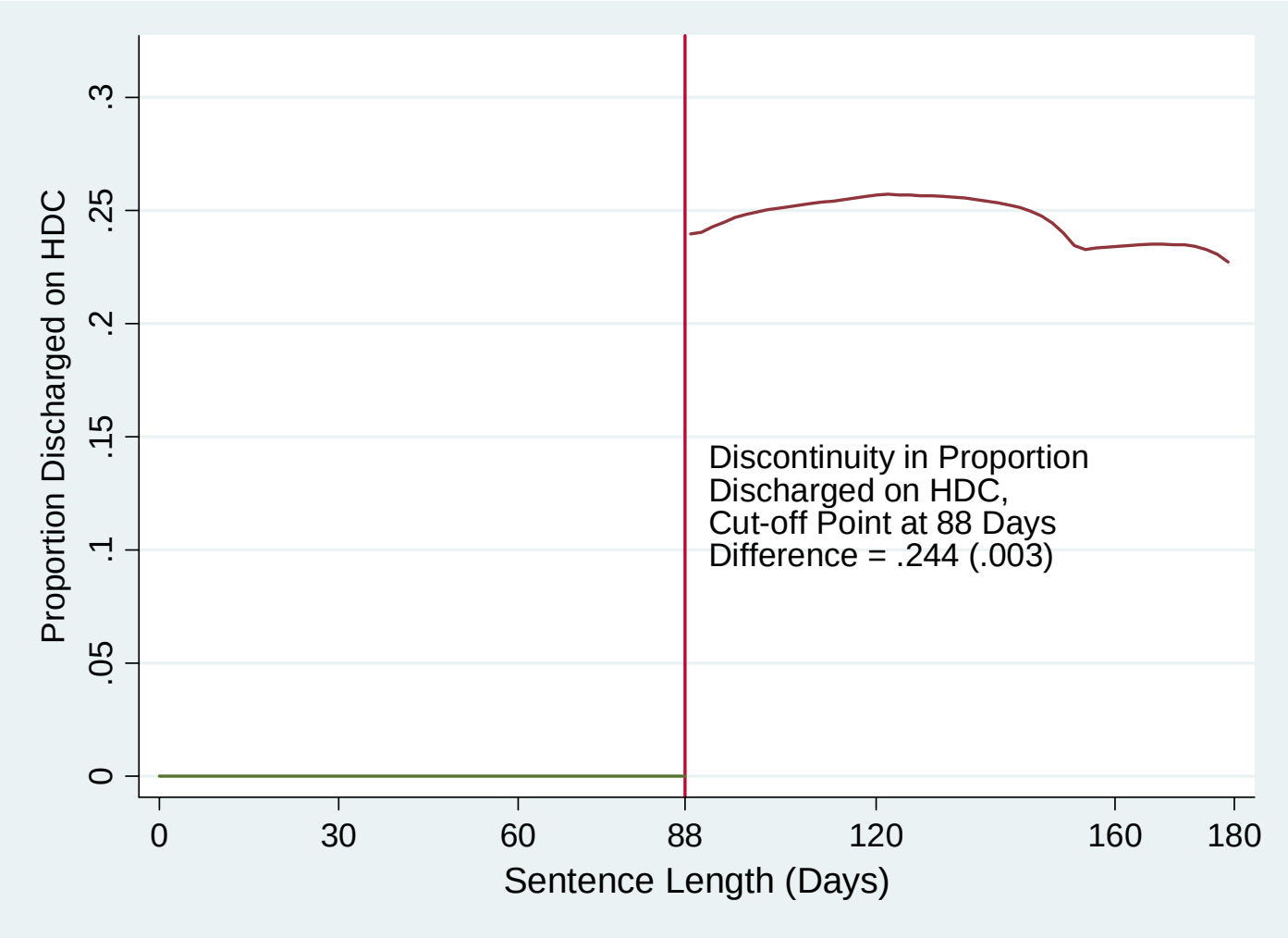

Figure 2: Mean Number of Previous Offence by Sentence Length

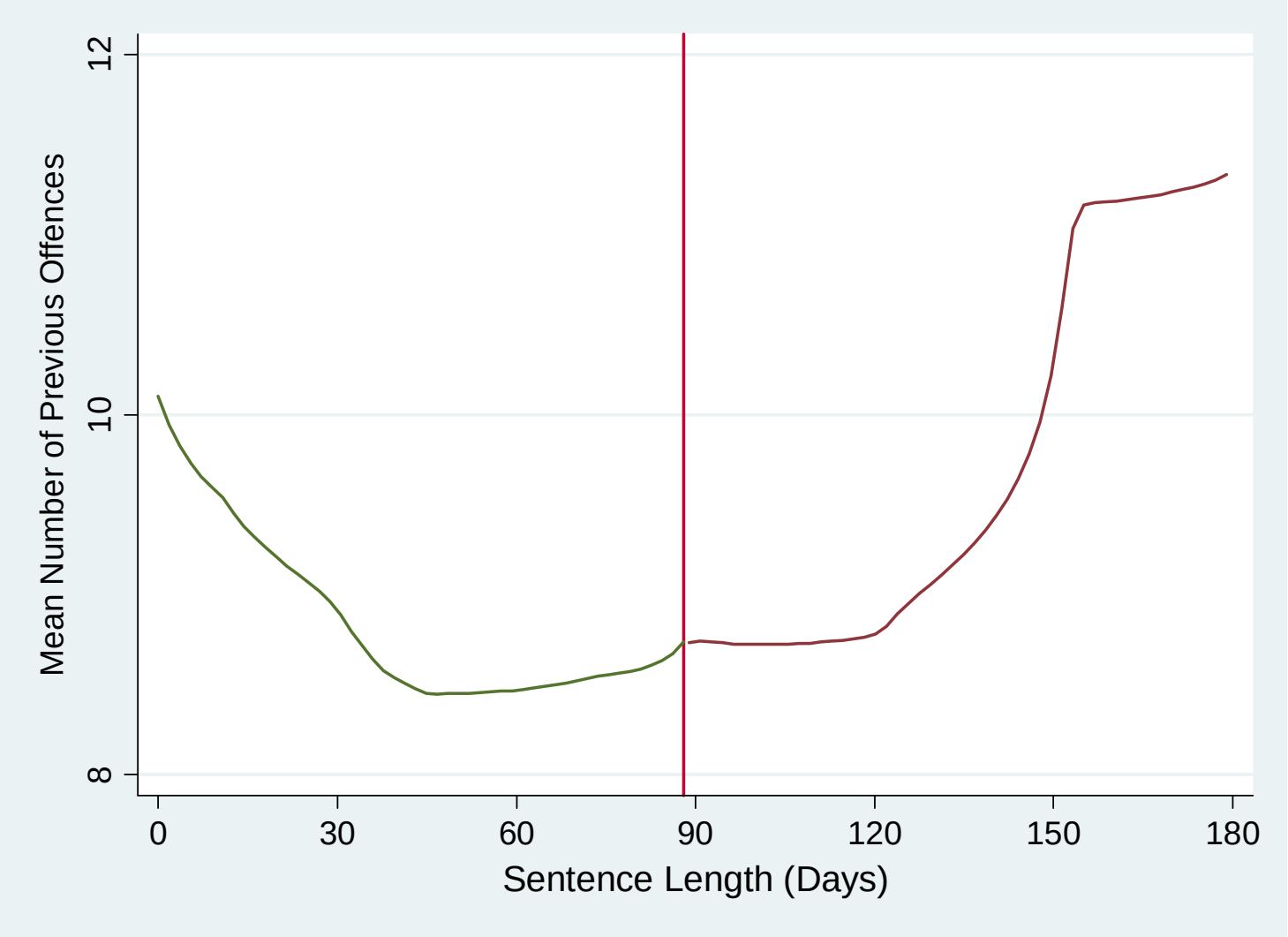

Table 4: RDD Estimates of HDC Impact on Recidivism – Around Threshold

	Dependent Variable = Recidivism Within 12 Months Estimation on Individuals Discharged +/- 7 Days of 88 Days Threshold		
	(1)	(2)	(3)
Estimated Discontinuity of HDC Participation at Threshold ($HDC^{+} - HDC^{-}$)	.243 (.009)	.223 (.009)	.243 (.003)
Estimated Difference in Recidivism Around Threshold ($Rec^{+} - Rec^{-}$)	-.089 (.011)	-.059 (.009)	-.044 (.014)
Estimated Effect of HDC on Recidivism Participation ($Rec^{+} - Rec^{-}$)/ ($HDC^{+} - HDC^{-}$)	-.366 (.044)	-.268 (.044)	-.181 (n.a.)
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For what group is this the ATE?

Internal and External Validity

Internal validity:

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External validity:

- You get the average effect of the sub-population with X_i close to c
- Fuzzy RDD further restricts this to the compliers with X_i close to c
- Only with strong assumptions (e.g., homogenous treatment effects) can we estimate the overall average treatment effect